

Finding the value hidden in contractor billing.

A \$233M contractor programme was billing \$4.9M–\$6M a year above the assessment benchmark. The cause was not which contractors held the work — it was the absence of rate-book enforcement, which meant replacing them would have reproduced it.

INDUSTRY

Energy & utilities — electric distribution

ENGAGEMENT CONTEXT

Consulting · major US electric utility

ROLE

Independent commercial assessment (pre-RFP)

DURATION

10 weeks

THE SITUATION

- A 2026 renewal of the overhead-construction contracts was approaching, against a unit-rate book that had not been refreshed in five years.
- Ambiguous work descriptions and time-based billing made the commercial exposure real but unquantified, with no competitive-tension mechanism in the contract.
- Any diagnosis had to pinpoint where governance failed across 482 rate-book items and six contractors without boiling the ocean.

MY CONTRIBUTION

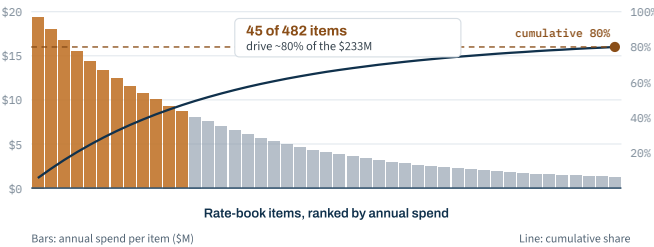
I led the assessment end to end — designing the three-layer method, analysing twelve months of approved spend covering \$233M across roughly 565,000 transactions, 482 rate-book items and six contractors, quantifying above-market billing, isolating its structural root cause, and converting the diagnosis into a five-pillar contracting framework and phased roadmap tied to the RFP critical path.

THE JUDGMENT THAT MATTERED

A rate comparison is only useful when the work and its measurement units are genuinely comparable. I weighted each contractor's rates by their own transaction volumes and held the finding together as one integrated opportunity rather than splitting it into a list of individually deniable line items.

EXHIBIT 1 Spend concentration across the rate book

Pareto of the \$233M portfolio · top 45 of 482 items shown · directional

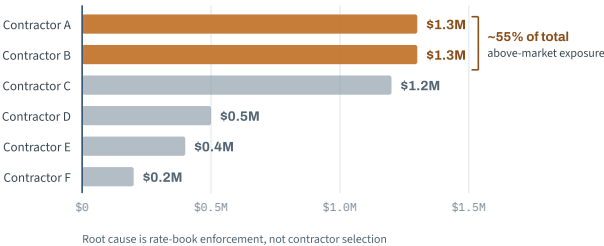


SO WHAT

The governance problem is highly concentrated — 45 items, not 482 — which makes it operationally addressable inside one renewal cycle rather than overwhelming.

EXHIBIT 2 Above-market variance by contractor

Unit-billing variance against the weighted-average rate · directional



SO WHAT

The two largest contractors carry roughly 55% of the exposure, but the driver is the absence of rate enforcement — the same billing pattern would recur with any replacement.

WHAT THE WORK DELIVERED

- A \$4.9M–\$6M annual opportunity quantified against the assessment benchmark and shown to be addressable through a single structural lever.
- An RFP-ready toolkit: a five-pillar contract framework, an upgraded work-description standard and a standardised pricing template.

- Rate-book enforcement identified as that lever — avoiding a costly contractor reshuffle that would not have fixed the cause.
- A sequenced roadmap tied to the renewal critical path, each reform mapped to a specific governance failure.

HEADLINE

\$4.9M–\$6M

annual opportunity identified